

Lesson 4: Pricing, Scope, and Agreements

What You're Learning Today

You already have a service package from Lesson 3 — something you could offer to a client. Today you'll learn how to put a fair price on it, how to write down exactly what's included (that's called "scope"), and how to draft a simple agreement so everyone's on the same page.

You'll also learn something important that a lot of people get wrong: **writing something down and signing it does not automatically make it a legal contract**. More on that below — it matters.

Why This Matters

Freelancers, contractors, and small business owners price their own work every single day. Nobody hands them a price list — they figure it out using simple, honest methods. Learning to do this now, at a small scale with simulated clients, means you'll already know how when it counts for real.

Pricing, Explained Simply

There are two beginner-friendly ways to price a service:

Flat Rate

One total price for the whole job, agreed before you start. - **Best for:** small jobs where you know exactly what's involved. - **Example:** "\$35 for one logo design with two rounds of revisions."

Hourly Rate

A price for each hour you work, added up at the end. - **Best for:** jobs where the amount of work is uncertain. - **Example:** "\$12 per hour for tutoring help, however many hours it takes."

A common beginner method: estimate how many hours a job will realistically take, multiply by a reasonable reference hourly rate, and use that number to set (or check) your flat-rate price. You'll practice this in the activity below.

Scope and Price Are Linked

Scope = exactly what is included in the job (and what isn't).

If your scope is vague ("I'll design your logo"), a client might expect unlimited revisions and extra requests for the same price. That's called **scope creep** — when the job quietly grows bigger than what was agreed, without the price

or timeline changing.

A clear scope protects both you and the client. It's not about being difficult — it's about being clear from the start, so nobody feels surprised or taken advantage of later.

Vague scope: "I'll design your logo." **Clear scope:** "One logo design, two revision rounds, delivered as a PNG and JPG file, within 5 days."

Worked Example: Pricing Priya's Package

Priya offers Instagram graphic design for small school clubs. Here's how she prices one project:

1. **Scope:** 3 social media graphics, 1 revision round each, delivered as PNG files, within 5 days.
2. **Estimated time:** about 1 hour per graphic (including the revision) = **3 hours total**.
3. **Reference hourly rate:** \$12/hour (a reasonable beginner starting point — not a fixed rule).
4. **Math:** 3 hours × \$12/hour = \$36.
5. **Quoted price:** Priya rounds this to a clean flat rate of **\$35** for the whole package.

Notice: Priya used hourly math to *reason her way* to a fair flat-rate quote. This is completely normal — and your price can always shift based on your experience, your local market, and what feels fair.

The Most Important Part of This Lesson: Agreements vs. Legal Contracts

Read this section slowly. It's the part we spend the most time on in class, for good reason.

When you and a client (even a simulated one) write down what you agreed on — the scope, the price, the deadline — that's a **written agreement**. It's genuinely useful because it:

- Makes sure you both understand the same thing.
- Creates a paper trail you can look back at if there's ever confusion.
- Builds a real skill that adults use in freelance work and business every day.

But here's the critical part: a written agreement between two people — especially a generic template — is NOT automatically a legally binding contract. Just because something is written down, and even signed, does not by itself make it enforceable by law.

What actually makes something a real, legally binding contract involves things like:

- **Capacity to contract** — in most places, there are legal rules (often tied to age of majority) about who is legally able to enter into a binding contract. This can specifically affect people under 18.
- **Consideration** — a legal term for something of value being exchanged in a legally recognized way.
- Other legal requirements that are different depending on the country, state, or province you're in.

That's a whole area of law on its own — way beyond this lesson, and not something you need to master to do great beginner client work. What you *do* need is a clear, honest agreement that keeps everyone on the same page. That's what we're practicing.

One more essential point: if you ever do real client work for real money, a parent or guardian should know about it and be involved — helping with things like handling payment, communicating with a client if something goes wrong, and making sure the whole arrangement is safe and appropriate for your age. This isn't optional caution — it's simply how paid work should go for someone your age.

Key Terms

Term	Meaning
Flat rate	One total price for an entire job, agreed before starting.
Hourly rate	A price charged per hour of work.
Scope	Exactly what is (and isn't) included in a job.
Scope creep	When a job grows beyond what was agreed, without the price or timeline changing.
Agreement	A written record of what two people understood and agreed to — useful for clarity, not automatically legal.
Legal contract	A legally enforceable agreement that requires specific legal conditions (like capacity and consideration) which vary by jurisdiction.
Capacity (to contract)	The legal ability to enter into a binding contract — often tied to age of majority and other rules.

Activity: Price Your Package & Draft Your Agreement

1. Open your Worksheet for this lesson.
2. Re-read your Lesson 3 service package.
3. Fill in the pricing calculator: estimate your hours, apply a reference hourly rate, and calculate a suggested price.
4. Write a clear, specific scope line — not vague.
5. Complete the agreement template for a fictional simulated client (make up a name — do not use a real transaction).
6. Read the disclaimer at the top of the agreement out loud to yourself before filling it in. Do not delete it.

Knowledge Check

1. What's the difference between a flat rate and an hourly rate?
2. What is "scope creep," and why is a clear scope important?
3. Is a written agreement between two students automatically a legal contract? Why or why not?
4. Name two things (besides being written down) that are generally needed for something to be a real legal contract.
5. If you were going to do real paid client work, who should know about it, and why?

Reflection Prompts

1. Which pricing method (flat or hourly) fits your Lesson 3 service package best, and why?
2. In your own words, explain the difference between "a clear agreement" and "a legally binding contract."
3. How would you explain the parent/guardian point to a friend who thought it was unnecessary?

Submission Instructions

Submit your completed Worksheet (pricing calculator, scope checklist, and agreement template) through your Notion workspace by the end of class. Make sure the disclaimer text at the top of your agreement section is present and unedited — this is checked as part of review.